INSURANCE AND PENSIONS COMMISSION

REPORT FOR

LIFE ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2014

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
’13	The Year 2013
’14	The Year 2014
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

1.0 Table of Contents

2.0 Industry Overview

The report is based on 10 life players and 2 reassurance companies. In Net Premium terms, players wrote $130 million (June 2013:$123million), resulting in a 6% annual rate increase. Total costs rose by 16% from $95million in the same period last year to $109million, thus outgrowing income streams by more than 10%. The industry's combined ratio was 84% resulting in $21million as technical profit (June 2013: 77% and$28million) reflecting increasing pressure on profit margins. The industry should continue to cultivate new revenue streams via new products to cater for varied target markets including the lower end of the society.

As at the current review period, total industry assets were $1.6 billion cumulative, a 9% growth from $1,5billion for the comparative period last year. Total liabilities were at $1.3billion realizing $250 million as free capital (June 2013:$1,2billion). Two players did not meet the minimum capital requirements which took effect on 30 June 2014 in line with Statutory Instrument 21 of 2013.Consequently; consultations are on-going to manage this risk.

Table 1, below summarizes the aggregated financial indicators of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the quarter ended 30 June 2014

Item	Life Assurers			Life Reassurers			TOTALS		
	June '13	June '14	Growth	June '13	June '14	Growth	June '13	June '14	Growth
Gross Premiums Written ($000)	122,072	*128,388*	5%	3,234	*4,759*	47%	125,306	133,147	6%
Net Premiums Written ($000)	120,378	*126,307*	5	2,545	*3,950*	55%	122,923	130,257	6%
Retention Ratio	99%	*98%*	-1%	79%	*83%*	4%	98%	98%	-
Total Gross Claims ($000)	61,438	*65,869*		1,173	*1,951*	66%	62,611	67,820	8%
Total Net Claims ($000)	61,438	*64,487*	13%	1,173	*1,951*	66%	62,611	66,438	6%
Management Expenses ($000)	26,718	*36,345*	36%	700	*996*	42%	27,418	37,341	36%
Commissions ($000)	3,860	*4,623*	20%	673	*1,037*	54%	4,533	5,660	25%
Total Costs($000)	92,016	*105,455*	15%	2,546	*3,984*	56%	94,562	109,439	16%
Technical Profit	28,362	*20,852*	26%	1	*(34)*	(3300%)	28,363	20,818	-27%
Expense Ratio (%)	25%	*32%*	7%	54%	*51%*	(3%)	26%	33%	7%
Claims Ratio	51%	*51%*	-	46%	*49%*	3%	51%	51%	-
Combined Ratio	75%	*83%*	8%	100%	*101%*	-1%	77%	84%	7%
Total Assets ($000)	1,456,764	*1,576,767*	8%	6,913	*12,926*	87%	1,463,677	1,589,693	9%
Current Assets	197,928	*287,191*	45%	4,881	*4,304*	(12%)	202,809	291,495	44%
Current Liabilities	91,828	*162,428*	77%	925	*1,073*	16%	92,753	163,501	76%
Total Liabilities ($000)	1,220,059	*1,332,401*	9%	4,742	*6,031*	27%	1,224,801	1,338,432	9%
Free Capital($000)	235,880	*242,828*	3%	2,171	*6,895*	218%	238,051	249,723	5%
Liquidity/Current Ratio	216%	*177%*	-39%	528%	*401%*	(127%)	219%	*178%*	(41%)
Capital to liability Ratio	19%	*18%*	-1%	46%	*114%*	68%	19%	*19%*	-
Prescribed Asset Ratio (%)	1%	*1%*	-	-	-	-			

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 10 life assurers.

4.0 Net Premiums Written

For the half year ended 30 June 2014, life companies wrote $126 million in Net Written Premiums .This reflected a 5% growth from the same period last year and (See Table 2,below).

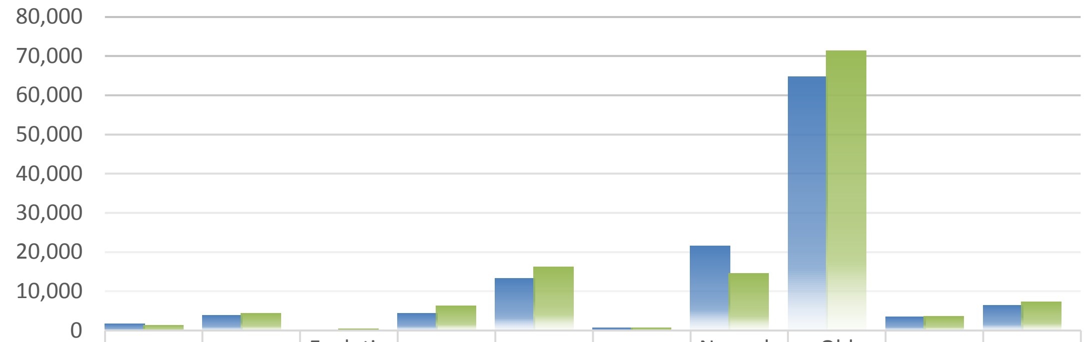
Table 2: Net Written Premium Distribution by Company for the half year ended 30 June 2014

Name of Company	NPW (USD 000)		Growth
	Jun-13	Jun-14	Annual
Altfin	1,719	1,343	(22)
Cbz	3,845	4,386	14
Evolution	233	402	73
Fidelity	4,384	6,345	45
FML	13,305	16,258	22
Heritage	653	689	6
Nyaradzo	21,629	14,597	(33)
Old Mutual	64,719	71,365	10
Zb Life	3,444	3,562	3
Zimnat	6,447	7,360	14
TOTAL	120,378	126,307	5

5.0 Market Share for Life Assurance Companies

For the period under review, the three biggest players controlled $102 million or 82% of net premium written (June 2013:$100 million or 83%). The industry must compete on product innovation and service in order to ride meaningfully on improving business confidence (See Figure 1, below).

Figure 1:Market share by company for the half year ended 30 June 2014



	Altfin	Cbz	Evolution	Fidelity	FML	Heritage	Nyaradzo	Old Mutual	Zb Life	Zimnat
Jun,2013	1,719	3,845	233	4,384	13,305	653	21,629	64,719	3,444	6,447
Share	1%	3%	0%	4%	11%	1%	18%	54%	3%	5%
Jun,2014	1,343	4,386	402	6,345	16,258	689	14,597	71,365	3,562	7,360
Share	1%	3%	0%	5%	13%	1%	12%	57%	3%	6%

6.0 Business Composition by Income Stream

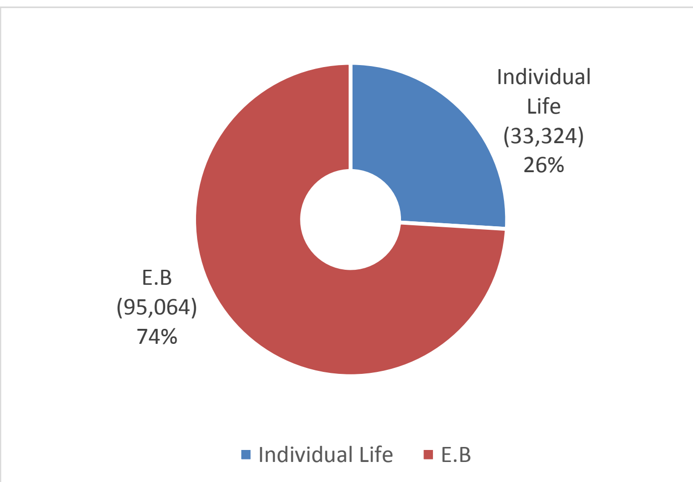
For the half year ended 30 June 2014, players wrote $128million in gross premium terms (June 2013:$122million).Out of the above figure 74% or $95 million was employee benefits business (June 2013:75% or $92million) whilst 26% or $33million was individual lines business (June 2013:25% or $30million).

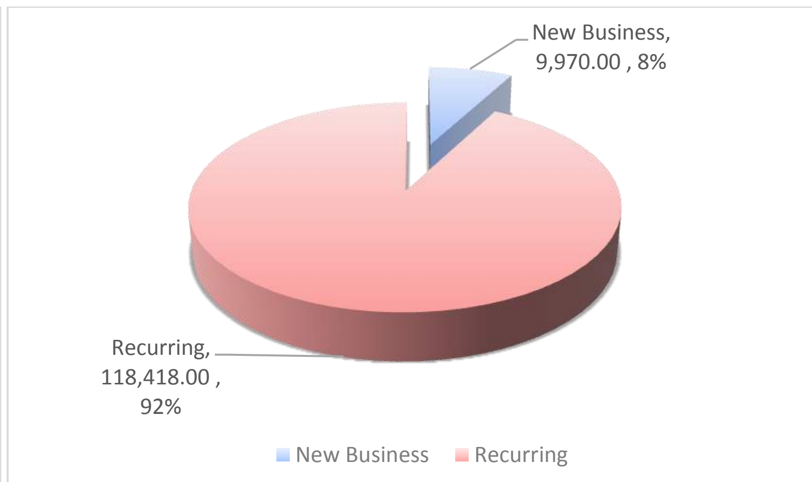
In an apparent show of liquidity challenges affecting the economy, new business uptake contracted to 8% or $10 million (June 2013:16% or $20million) whilst the balance of 92% or $118million was attributable to recurring business (June 2013:84% or $103million)(See Table 3 and Figure 2,below).

Table3: Business Composition by Company for the half year ended 30 June 2014

Company Name	Individual Life ($000)						Employee Benefits ($000)						Total Gross Premiums Written ($000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Altfin	49	49	0%	0	180	0	0	0	0	1,956	1,291	-34%	2,005	1,520	-24%
CBZ Life	312	138	-56%	1,107	3,281	196%	1,489	388	-74%	1,034	705	-32%	3,942	4,512	14%
Evolution	138	29	-79%	102	374	267%	0	0	0	0	0	0	240	403	68%
Fidelity	208	1,860	794%	644	880	37%	0	0	0	3,727	3,815	2%	4,579	6,555	43%
FML	561	757	35%	5,579	6,586	18%	119	2,102	1666%	7,177	6,962	-3%	13,435	16,407	22%
Heritage	27	6	-78%	377	495	31%	0	0	0	279	219	-22%	683	720	5%
Nyaradzo	801	365	-54%	14,428	10,140	-30%	263	60	-77%	6,137	4,032	-34%	21,629	14,597	-33%
O. Mutual	737	410	-44%	2,867	4,843	69%	14,219	2,864	-80%	47,250	63,784	35%	65,073	71,901	10%
Zb Life	262	408	56%	1,076	1,095	2%	39	154	295%	2,270	2,237	-1%	3,647	3,894	7%
Zimnat	162	204	26%	768	1,224	59%	179	176	-2%	5,729	6,275	10%	6,839	7,879	15%
TOTAL	3,257	4,226	30%	26,948	29,098	8%	16,308	5,744	(65)	75,559	89,320	18%	122,072	128,388	5

Figure 2: Business Composition for the half year ended 30 June 2014 ($000)





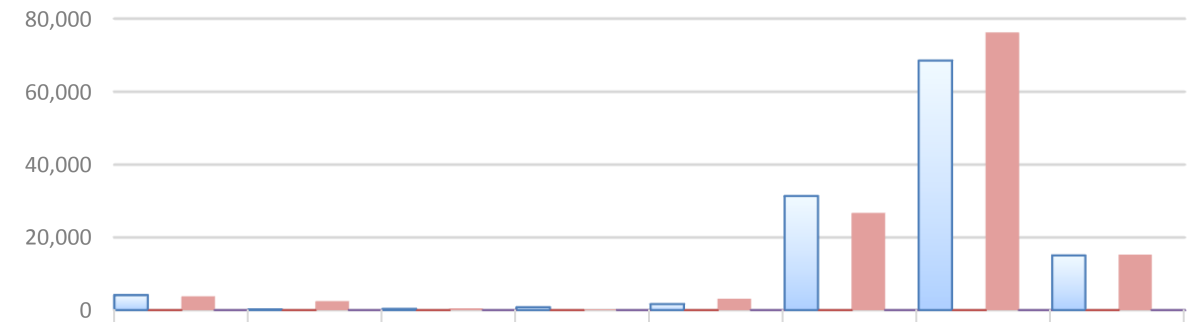
5.2 Business Composition by Product Class

Just like in the same period last year, more than 80% of the business continued to be made up of fund and funeral business. This may be a result of consumers concentrating mainly in products on a need basis rather than pure savings due to the current liquidity squeeze (See Table 4 and Figure 3below)

Table 4: Written Business Classes by Company for the half year ended 30 June 2014

Co. Name	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Altfin	40	32	-20%	9	7	(22)	-	0	0	-	0	0	-	0	0	-	10	0	1,956	1,471	-25%	0	0	0	2,005	1,520	-24
CBZ Life	1,375	0	-100%	-	1,972	0	0	0	0	0	0	0	0	0	0	2,566	2,540	(1)	0	0	-	0	0	0	3,942	4,512	14
Evolution	-	0	-	-	0	0	-	0	0	-	0	0	-	33	-	240	289	20	-	0	-	0	81	-	240	403	68
Fidelity	23	49	113%	-	0	0	294	308	5	13	100	669	126	315	150	0	1,506	0	3,728	3,814	2%	395	463	17	4,579	6,555	43
FML	1,617	2,201	36%	0	385	0	6	93	1,450	615	0	-	225	276	23	4,376	4,541	4	3,843	6,192	61%	2,753	2,719	(1)	13,435	16,407	22
Heritage	6	5	-17%	0	0	0	5	3	-40	63	48	-24	0	0	-	330	446	(68)	279	0	(100)%	0	219	-	683	720	5
Nyarardzo		0	-		0	0		0	-		0	-		0	0	21,627	14,597	4,323		0	-	-	0	0	21,627	14,597	(33)
O. Mutual	931	1,379	48%	-	0	0	-	0	0	-	0	-	1,276	2,267	78	1,396	1,608	6,891	52,431	57,397	9%	9,039	9,251	2	65,073	71,901	10
Zb Life	2	4	100%	181	97	(46)	-	83	0	53	51	(4)	3	30	900	23	143	(83)	3,385	3,486	3%	0	0	0	3,647	3,894	7
Zimnat	152	151	-1%	0	-	0	0	0	0	54	49	-9	47	243	417	829	1,057	(88)	2,876	3,856	34%	2,881	2,523	(12)	6,839	7,879	15
Total	4,146	3,821	-8	190	2,461	1195	305	487	60	798	248	-69	1,677	3,164	89	31,387	26,737	-15	68,498	76,216	11%	15,068	15,256	1	122,069	128,390	5

Figure 3: Gross Written Premium by Product Class by Company for the half year ended 30 June 2014



	Annuities	Term Ass	Endownt	Pure Endo.	Whole Life	Funeral	Funds	Other
Jun,2013	4,146	190	305	798	1,677	31,387	68,498	15,068
%	3%	0%	0%	1%	1%	26%	56%	12%
Jun,2014	3,821	2,461	487	248	3,164	26,737	76,216	15,256
%	3%	2%	0%	0%	2%	21%	59%	12%

5.2.1 Not-taken Up and Lapsed Policies

The industry continues to record high lapse ratios in individual lines business whilst employee benefits reported lower lapse ratios. This is a manifestation of the current liquidity challenges the economy is facing.(See Table 5,below)

Table 5: Lapsed Policies for the half year ended 30 June 2014

Co. Name	Not taken up policies (000)						Lapse Ratios (%)					
	Individual			Group Business			Individual			Group Business		
	Jun-	Jun-	Growth	Jun-	Jun-	Growth	Jun-	Jun-	Growth	Jun-	Jun-	Growth
Altfin	0	8	-	5	0	-	0	102	0	0	0	0
CBZ Life	22	3	(87%)	0	0	0	8	9	1%	0	0	0
Evolution	0	0	-	0	0	0	4	22	18%	0	0	0
Fidelity	0	0	-	0	0	0	0	7	-	0	0	0
FML	12	21	75%	0	0	0	10	43	33%	0	0	0
Heritage	0	0	-	0	0	0	81	0	-	0	6	0
Nyaradzo	0	0	-	0	0	0	0	7	-	0	33	0
O Mutual	0	2	-	0	0	0	7	6	1%	0	0	0
Zb Life	20	26	30%	0	0	0	106	26	(80%)	0	0	0
Zimnat	0	0	-	1	0	-	8	0	-	0	0	0
TOTAL	54	60	11	6	0	-	N/A	N/A	N/A	N/A	N/A	N/A

6.0 Claims Analysis

For the half year ended 30 June 2014, players paid $66 million in net claims, a 7% growth from $61million reported in the first half of last year. On the other hand, net premiums grew by 5%.As highlighted earlier, players are encouraged to improve their net income streams via several ways including product innovation.(See Table 6 below)

Players generally reported timely settlement of claims. However some had claims aged beyond 61days(See Table 7 and Figure 4,below).The Commission will continue to engage players in order to rectify this status quo as it is unfair to policyholders and poses serious reputational and legal risks to the companies concerned.

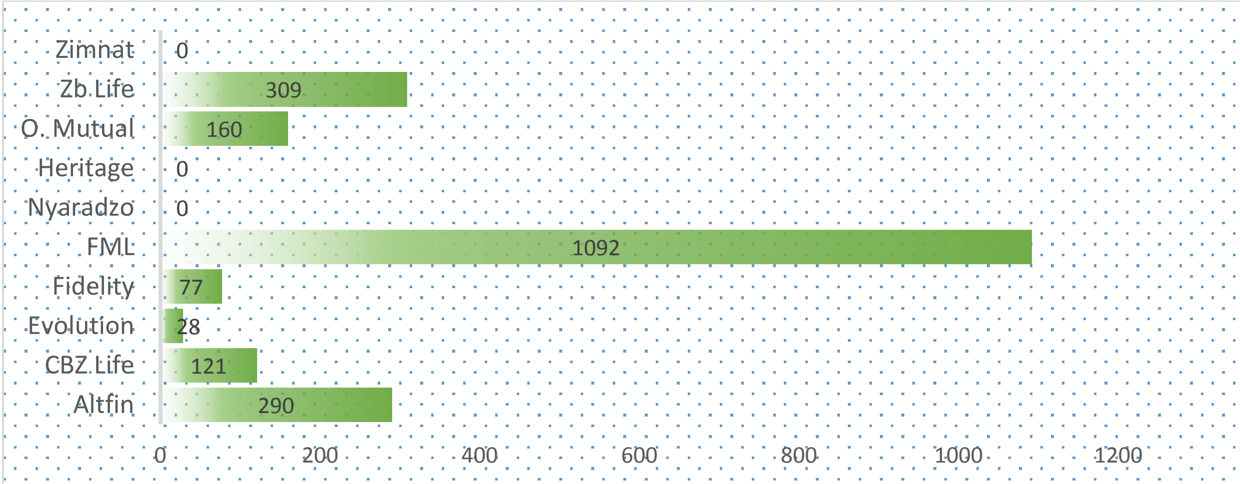
Table 6:Claims Categories by Company for the half year ended 30 June 2014($000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	Jun-13	Jun-14	(%)	Jun-13	Jun-14	(%)	Jun-13	Jun-14	(%)	Jun-13	Jun-14	(%)	Jun-13	Jun-14	(%)	Jun-13	Jun-14	(%)	Jun-13	Jun-14	(%)
Altfin	214	1	-100%	29	7	-76%	0	0	0	139	6	-96%	0	0	-	134	0	-100%	248	192	-23%
CBZ Life	674	993	47%	0	14	-	0	0	0	0	51	-	0	0	-	0	0	-	674	1059	57%
Evolution	22	29	32%	0	0	-	0	22	0	0	0	-	0	0	-	0	0	-	22	8	-64%
Fidelity	534	350	-34%	48	192	300%	0	0	0	65	247	280%	44	107	143%	9	33	267%	682	863	27%
FML	185	687	271%	417	2,894	594%	0	964	0	225	1,044	364%	239	645	170%	0	0	-	1,066	6,234	485%
Heritage	77	85	10%	1	0	(100)%	0	0	0	27	30	11%	0	0	-	0	0	-	105	115	10%
Nyaradzo	10,496	5,930	-44%		0	-	0	0	0		0	-		0	-		0	-	10,496	5,930	-44%
O.Mutual	4,521	5,150	14%	13,565	15,520	14%	0	96	0	21,366	20,692	-3%	5,056	6,068	20%	159	160	1%	44,349	47,375	7%
Zb Life	709	715	1%	52	196	277%	0	0	0	301	686	128%	0	0	-	20	42	110%	1,042	1,555	49%
Zimnat	2,740	1,282	-53%	354	1,260	256%	0	0	0	0	37	-	0	0	-	340	0	-100%	2,754	2,538	-8%
Total	**20,172**	**15,222**	15	**14,466**	**20,083**	39	**0**	**1,082**	0	**22,123**	**22,793**	3	**5,339**	**6,820**	28%	**662**	**235**	-65%	**61,438**	**65,869**	7

Table 7:Claims Aged Analysis by Company for the half year ended 30 June 2014($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	0	0	180	87	23	290
CBZ Life	105	5	1	3	7	121
Evolution	19	9	0	0	0	28
Fidelity	4	1	5	4	63	77
FML	393	81	105	513	0	1,092
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	160	0	0	0	0	160
Zb Life	36	47	54	40	132	309
Zimnat	0	0	0	0	0	0
Total	**717**	**143**	**345**	**647**	**225**	**2077**

Figure 4: Claims Aged Analysis by Company (000)



8.0 Debtors Aged Analysis

The life industry reported premium debtors of $7million against a gross premium written of $128million.Consequently,the average premium collection rate was 95% which is considered reasonable given the generally low disposable income in the economy (See Table 8,below).

Table 8 : Debtors Aged Analysis by Company for the half year ended 30 June 2014 ($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	115	24	29	40	1,454	1,662
CBZ Life	23	18	0	0	0	41
Evolution	57	46	30	59	100	292
Fidelity	523	235	225	27	1,686	2,696
FML	840	157	304	0	0	1,301
Heritage	92	76	79	34	319	600
Nyaradzo	0	0	0	0	0	0
O. Mutual	0	0	0	0	0	0
Zb Life	0	0	0	0	0	0
Zimnat	0	0	0	0	0	0
Total	1,774	1,373	1,204	1,960	1,156	6,592

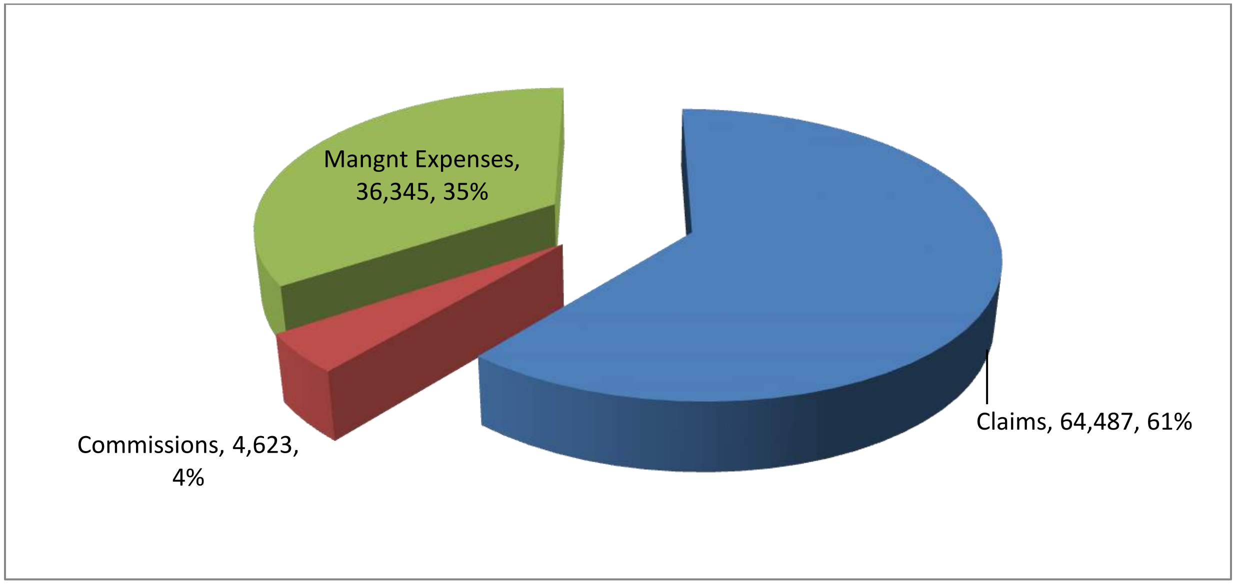
9.0 Earnings

For the half year ended 30 June 2014, management costs accounted for 35% or $36million of total costs (June 2013:29% or $27million), claims-61% or $64million (June 2013: 67% or $61million) whilst the commissions made up the balance of 4% or $5million(June 2013: 4% or $4million). This resulted in the combined ration rising from 75% reported in the comparative period last year to the current 83% mainly due to rising operational costs (See Table 9 and figure 5, below).

Table 9: Key Income and Cost Indicators By Company for the half year ended 30 June 2014 (000)

Co. Name	NPW($000)		Claims($000)			Commissions($000)			Management Expenses($000)			Total Costs($000)			Combined Ratio		
	Jun-13	Jun-14	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth	Jun-13	Jun-14	%
Altfin	1,719	1,343	248	341	38%	191	147	-23%	871	981	13%	1,310	1,469	-77%	76%	109%	33
CBZ Life	3,845	4,386	674	1,503	123%	295	669	127%	1,077	1,245	16%	2,046	3,417	-56%	53%	78%	25
Evolution	233	402	22	51	132%	0	29	0	318	327	3%	340	407	-87%	146%	101%	-45
Fidelity	4,384	6,345	682	863	27%	62	100	61%	2,329	2,502	7%	3,073	3,465	-75%	70%	55%	-15
FML	13,305	16,258	1,066	6,234	485%	871	797	-8%	6,323	10,513	66%	8,260	17,544	-64%	62%	108%	-46
Heritage	653	689	105	115	10%	110	113	3%	284	394	39%	499	622	-82%	76%	90%	14
Nyaradzo	21,629	14,597	10,496	3,860	-63%	1,189	1,247	5%	5,777	8,861	53%	17,462	13,968	-72%	81%	96%	15
O. Mutual	64,719	71,365	44,349	47,375	7%	625	849	36%	6,823	7,351	8%	51,797	55,575	-15%	80%	78%	-2
Zb Life	3,444	3,562	1,042	1,607	54%	274	170	-38%	1,290	2,066	60%	2,606	3,843	-58%	76%	108%	-32
Zimnat	6,447	7,360	2,754	2,538	-8%	243	502	107%	1,626	2,105	29%	4,623	5,145	-51%	72%	70%	-2
Total	**120,378**	126,307	**61,438**	64,487	13%	3,860	4,623	20%	26,718	36,345	36%	92,016	105,455	15%	75%	83%	8

Figure 5: Key Cost Indicators By Company for the half year ended 30 June 2014



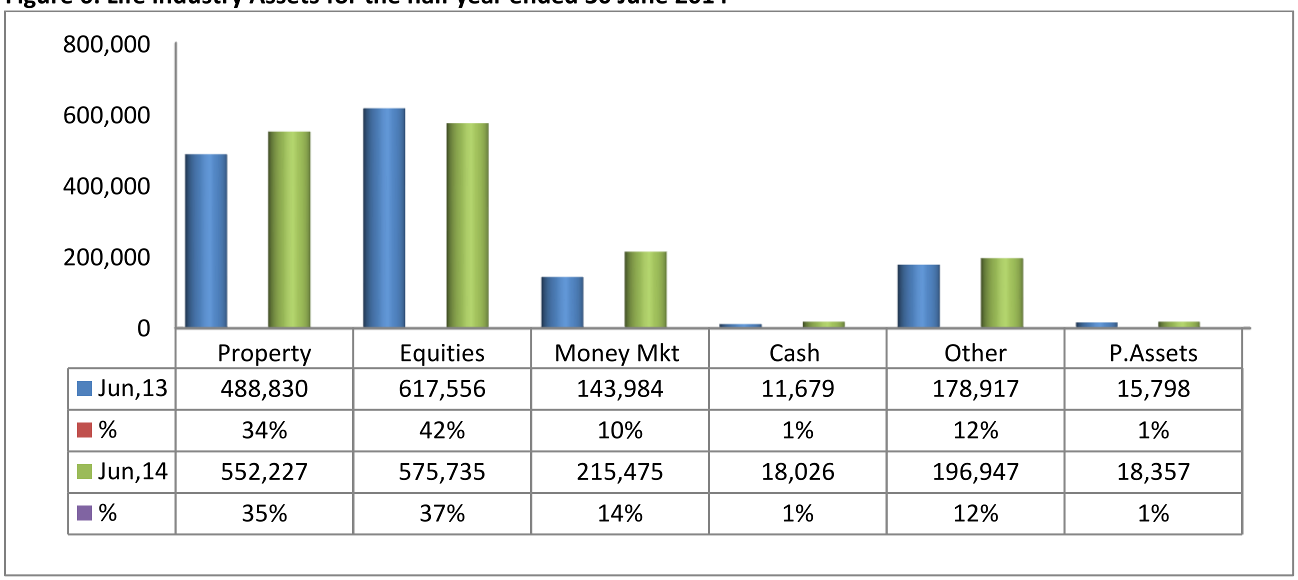
10.Asset Quality

As at 30 June 2014, the life industry held their investments in properties,35% or $552million (June 2013:34% or$488million), equities-$576million or 37% (June 2013:42% or $618million), money market-$215million or 14%(June 2013:10% or $144million), cash assets-$18million or 1% (June 2013:1% or $12million) , other assets ,$197million or 12% (June 2013:12% or $179million) whilst prescribed assets remained flat at 1%. The industry should continue employing guidance from their respective actuaries in addition to prudential investment directives from IPEC (See Table 10 and Figure 6, below).

Table 10: Life industry Assets for the year for the half year ended 30 June 2014($000)

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Altfin	1,500	2,335	56%	0	2,945	-	(333)	2,124	-738%	236	357	51%	0	2,512	0	0	70	-	1,403	10,343	637%
CBZ Life	169	329	95%	0	0	-	5,224	8,331	59%	242	473	95%	884	717	-19%	494	0	-100%	7,013	9,850	40%
Evolution	40	31	-23%	0	0	-	254	226	-11%	14	4	-71%	2,281	3,021	32%	0	30	-	2,589	3,312	28%
Fidelity	19,939	28,012	40%	6,548	5,504	-16%	3,659	6,510	78%	253	2,425	858%	5,571	8,726	57%	0	0	-	35,970	51,177	42%
FML	0	14,362	-	26,594	24,022	-10%	10,481	3,625	-65%	2,349	3,117	33%	132,458	139,364	5%	422	3,311	685%	172,304	187,801	9%
Heritage	651	716	10%	26	0	-100%	1,552	0	-100%	40	90	125%	356	1,992	460%	0	0	-	2,625	2,798	7%
Nyaradzo	14,354	22,513	57%	109	146	34%	2,687	7,240	169%	3,209	4,677	46%	10,273	11,742	14%	100	183	83%	30,732	46,501	51%
O.Mutual	433,304	463,156	7%	551,078	509,443	-8%	107,988	170,112	58%	4,510	6,160	37%	22,638	23,719	5%	14,147	14,201	0%	1,133,665	1,186,791	5%
Zb Life	3,433	3,433	0%	21,619	20,168	-7%	1,970	2,303	17%	319	199	-38%	2,168	1,785	-18%	403	325	-19%	29,912	28,213	-6%
Zimnat	15,440	17,340	12%	11,582	13,507	17%	10,502	15,004	43%	507	524	3%	2,288	3,369	47%	232	237	2%	40,551	49,981	23%
Total	**488,830**	**552,227**	13%	**617,556**	**575,735**	-7%	**143,984**	**215,475**	50%	**11,679**	**18,026**	54%	**178,917**	**196,947**	10%	**15,798**	**18,357**	16%	**1,456,764**	**1,576,767**	8%

Figure 6: Life industry Assets for the half year ended 30 June 2014



11. Capitalization, Solvency and Liquidity Indicators

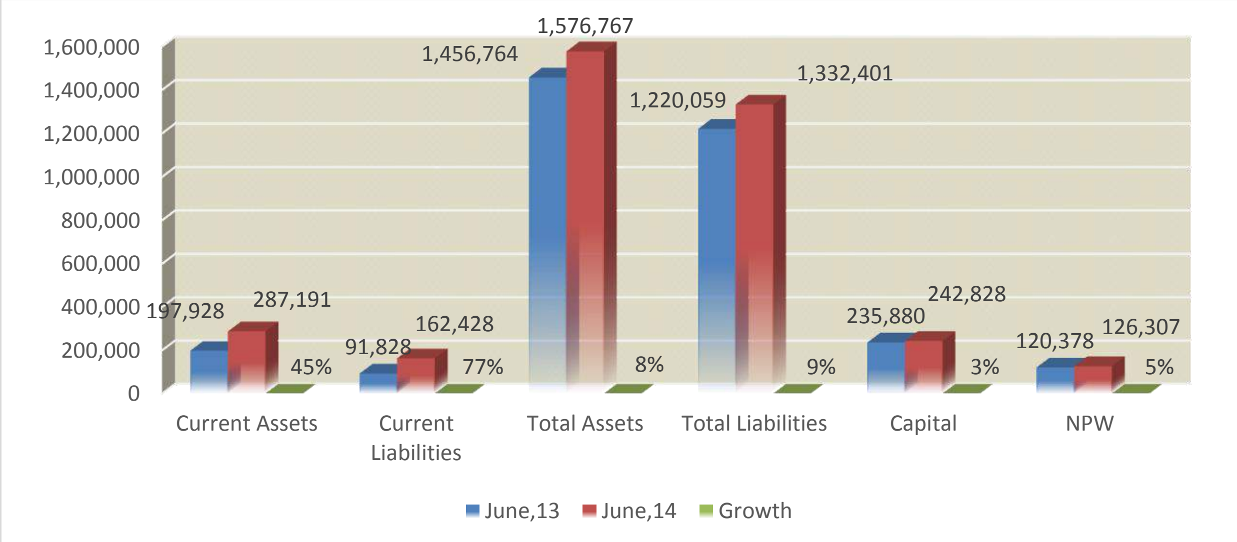
Life companies were largely capitalized as prescribed by Statutory Instrument 21 of 2013 whose deadline was 30 June 2014.(See table 6 below).The Commission is working with Altfin Life whose capital level is below the minimum required in order to restore compliance.

The industry reported an average capital to liability and liquid ratios of 18% and 177% respectively (See Table 11 and Figure 7, below).The Commission continues to engage the industry with a view to implementing a home-grown prototype of Solvency II in the medium to long term.

Table 11: Capitalization, Solvency and Liquidity Indicators (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Current Ratio (%)			*Capital to NPW Ratio (%)*		
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Altfin	867	4,840	458%	1,436	9,448	558%	1,403	10,343	2,244	10,087	350%	378	256	-32%	1,719	1,343	17%	3%	-14	60%	51%	-9	22%	19%	-3
CBZ Life	6,842	9,267	35%	713	2,138	200%	7,013	9,850	2,416	2,869	19%	4,597	6,981	52%	3,845	4,386	190%	243%	53	960%	433%	-527	120%	159%	39
Evolution	319	925	190%	258	407	58%	2,589	3,312	432	407	-6%	2,157	2,905	35%	233	402	499%	714%	215	124%	227%	3	926%	723%	-203
Fidelity	9,483	17,661	86%	5,301	11,065	109%	35,970	51,177	28,221	41,562	47%	7,749	9,615	24%	4,384	6,345	27%	23%	-4	179%	160%	-19	177%	152%	-25
FML	23,889	13,799	-42%	11,060	29,431	166%	172,304	187,801	108,514	118,386	9%	63,790	69,415	9%	13,305	16,258	59%	59%	-	216%	47%	-169	479%	427%	-52
Heritage	1,814	660	-64%	91	137	51%	2,625	2,798	290	342	18%	2,334	2,456	5%	653	689	805%	718%	-87	1993%	482%	-1511	357%	356%	-1
Nyaradzo	16,141	23,715	47%	28,506	42,169	48%	30,732	46,501	28,690	43,721	52%	2,042	2,780	36%	21,629	14,597	7%	6%	-1	57%	56%	-1	9%	19%	10
O. Mutual	133,841	197,908	48%	40,064	63,473	58%	1,133,665	1,186,791	993,049	1,052,731	6%	140,616	134,060	-5%	64,719	71,365	14%	13%	-1	334%	312%	-22	217%	188%	-29
Zb Life	2,914	3,285	13%	1,733	1,458	-16%	29,912	28,213	24,933	25,698	3%	4,978	2,515	-49%	3,444	3,562	20%	10%	-10	168%	225%	57	145%	71%	-74
Zimnat	1,818	15,131	732%	2,666	2,702	1%	40,551	49,981	31,270	36,598	17%	9,281	13,383	44%	6,447	7,360	30%	37%	7	68%	560%	492	144%	182%	38
Total	**197,928**	287,191	45%	**91,828**	162,428	77%	**1,456,764**	**1,576,767**	**1,220,059**	1,332,401	9%	**235,880**	242,828	3%	**120,378**	126,307	19%	18%	-1	216%	177%	-39	196%	192%	-4

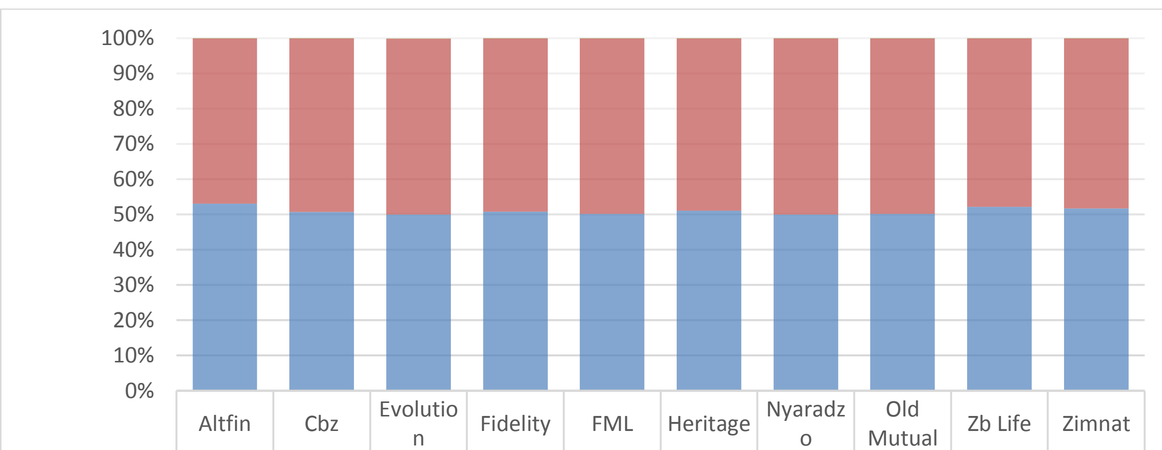
Figure 7: Capitalization, Solvency and Liquidity Indicators for the half year ended 30 June 2014($000)



12. Reinsurance

Reinsurance uptake by players continues to be on the low side. The Commission continues to encourage the industry to prudently reinsure for various reasons including but not limited to capitalization initiatives, technical expertise, new product innovation, risk spread among others(See Figure 12,below).

Figure 8: Retention Ratios



	Altfin	Cbz	Evolution	Fidelity	FML	Heritage	Nyaradzo	Old Mutual	Zb Life	Zimnat
Retention	88%	97%	100%	97%	99%	96%	100%	99%	91%	93%
NWP	1,343	4,386	402	6,345	16,258	689	14,597	71,365	3,562	7,360
GWP	1,520	4,512	403	6,555	16,407	720	14,597	71,901	3,894	7,879

Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

The insurance industry has two reassurance companies namely Baobab Re and FMRe.

2.0 Business Written

Table 1 below, shows that reassurers wrote $4million in net premiums from $3million realized in the same period last year. Armed with their cross-border knowledge of international markets, reassurers are encouraged to spearhead new products in our markets especially micro-insurance in order to access the lower end of our societies and the informal sector.

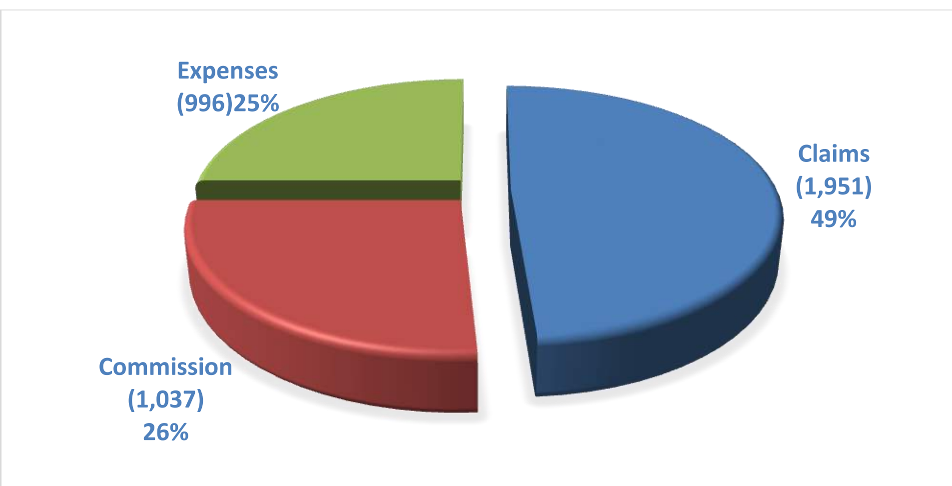
Table 1: Key Performance Indicators for the half year ended 30 June 2014(000)

Item	Baobab Re			FM Re			Total		
	Jun-13	June-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Gross Premium Written	2,348	2,799	19	886	1,960	65	3,234	4,759	47%
Net Premium Written	1,842	2,297	25	703	1,653	53	2,545	3,950	55%
Net Claims Incurred	860	1,215	41	313	736	73	1,173	1,951	66%
Net Commission Incurred	516	651	26	157	386	42	673	1,037	54%
Management Expenses	427	420	(2)	273	576	(14)	700	996	42%
Total Costs	1,803	2286	27	743	1,698	35	2,546	3,984	56%
Underwriting Profit	39	11	(72)	(40)	(45)	13%	-1	-34	3300
Combined Ratio	98%	100%		106%	103	-3%	100%	101%	1

3.0 Earnings

For the half year ended 30 June 2014,total costs incurred were $4million spread across claims-49% or $2million,Commission-26% or $1milliion and expenses making up the balance of 25% or $1million. The Commission encourages players to prudently manage their costs to promote viability (See Figure 1 below).

Figure 1: Cost Drivers for the Reassurers for the half year ended 30 June 2014(000)



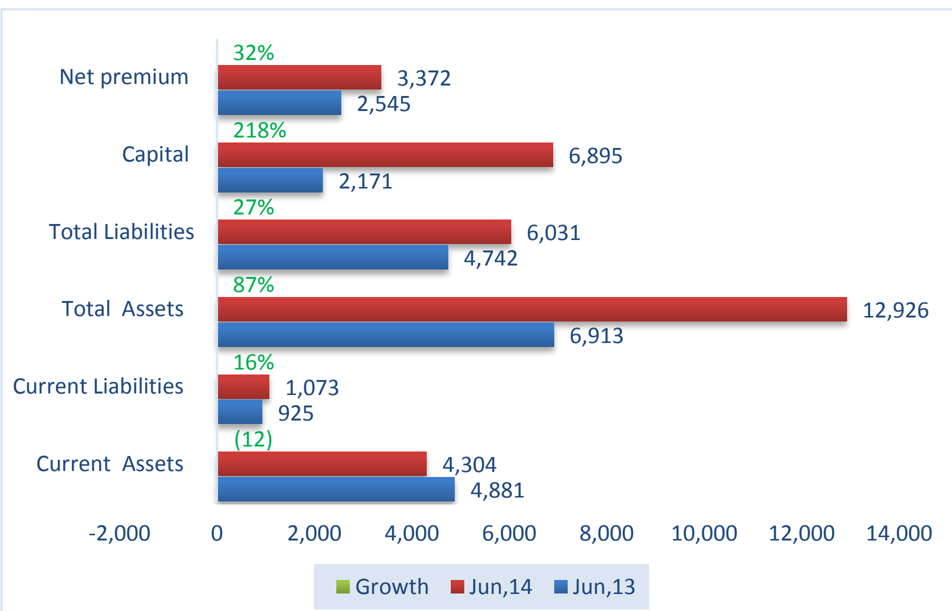
4.0 Capitalization and Solvency

For the current reporting period, FMRe failed to meet the minimum capital requirements (MCR) as stipulated by Statutory Instrument 21 of 2013(See Table 2 and Figure 2,below). The Commission has already engaged the player in order to ensure compliancy. The players however reported solidly strong capital to liability and liquidity ratios of 114% and 401% implying adequate financial stability.

Table 2: Key Capitalisation and Solvency Indicators for the half year ended 30 June 2014 (000)

Item	Baobab Re			FMRe			Total		
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Current Assets	3,194	2,628	(18)	1,687	1,676	26	4,881	4,304	(12)
Total Assets	4,618	10,746	133	2,295	2,180	7	6,913	12,926	87%
Current Liabilities	430	647	12	495	426	21	925	1,073	16%
Total Liabilities	3,637	5,024	38	1,105	1,007	30	4,742	6,031	27%
Capital	981	5,722	72	1,190	1,173	14	2,171	6,895	218%
Prescribed Assets	30	0	0	0	0		30	0	-
Prescribed asset Ratio	1%	0	0	0	0	0	0	0	-
Current Ratio	743%	406%	(733)	341%	393%		528%	401%	(127)
Capital to liability ratio	27%	114%	86%	108%	116%		46%	114%	68%
Net premium written	1,842	2,297	25	703	1,075	53	2,545	3,372	32%
Capital to Net premium written ratio	53%	249		169%	109%		85%	104%	**19%**

Figure 2: Capitalization and Solvency Indicators for the half year ended 30 June 2014 (000)



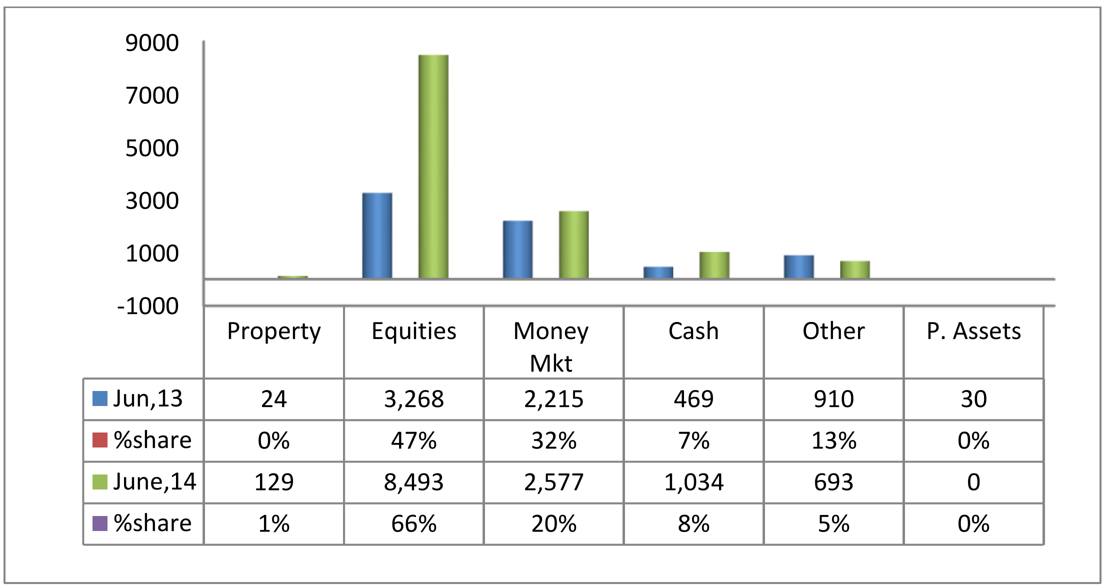
5.0 Asset Quality

As at the review date, reassurers' investments portfolio was in properties-1% or $129 000 (June 2013:0% or$24 000), equities-$8million or 66% (June 2013:47% or $3million), money market-$3million or 20%(June 2013:32% or $2million), cash assets-$1million or 8% (June 2013:7% or $469 000) , other assets-$693 000 or 5% (June 2013:13% or $910 000) whilst prescribed assets remained very low. Players must continue implementing advice from actuaries in addition to prudential investment guide lines from IPEC (See Table 3 and Figure 3, below).

Table 3: Total Assets for Reassurers for the half year ended 30 June 2014

Asset Type	Baobab Re			FM Re			Total		
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Fixed Property (000)	0	**112**	-	24	**17**	14	24	129	438%
Equities (000)	2,683	**8,006**	(53)	585	**487**	5	3,268	**8,493**	160%
Money Market (000)	886	**1,231**	(28)	1,329	**1,346**	(5)	2,215	**2,577**	16%
Cash (000)	401	**964**	(58)	65	**70**	27	469	**1,034**	120%
Other Investments (000	618	**433**	43	292	**260**	(14)	910	**693**	(24%)
Prescribed Assets	30	**0**	0	0	**0**	0	30	**0**	-
Total Assets (000)	**4,618**	**10,746**	**112**	**2,295**	**2,180**	**(79)**	**6,916**	**12,926**	**87%**

Figure 3: Total Assets for Reassurers for the half year ended 30 June 2014.

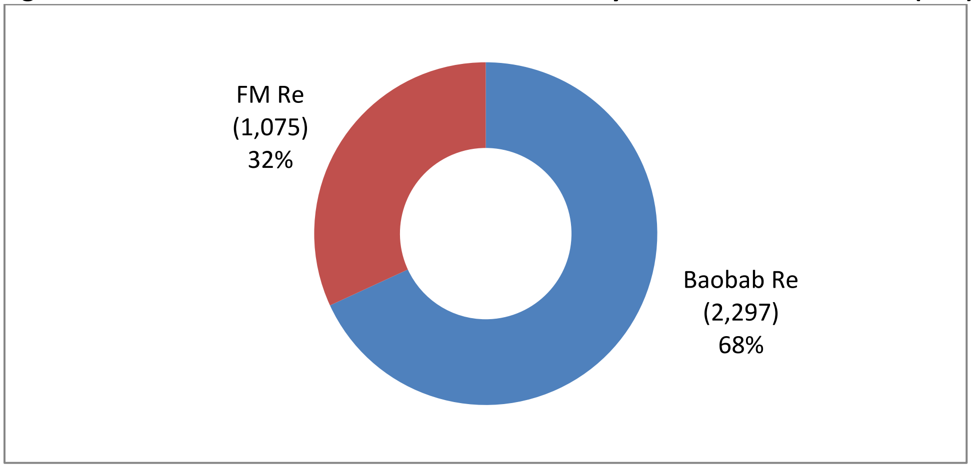


	Property	Equities	Money Mkt	Cash	Other	P. Assets
Jun,13	24	3,268	2,215	469	910	30
%share	0%	47%	32%	7%	13%	0%
June,14	129	8,493	2,577	1,034	693	0
%share	1%	66%	20%	8%	5%	0%

6.0 Market Share

For the half year up to 30 June 2014, Baobab Life and Health controlled 68% of the market in net premium terms whilst the balance was underwritten by FM Re .Among other parameters, players are encouraged to compete mainly on service and product innovations.

Figure 4: Market share For Reassurers for the half year ended 30 June 2014(000)



7.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 4: Issued Acts, Circulars and Statutory Instruments for the year ended 30 June 2014

Details	Subject Matter	Issue date
Draft Circular 1 of 2014	Permissible Assets	March 2014
Circular No. 2 of 2014	Commutations of Pensions	11 April 2014
Circular No.1 of 2014	Guidance on Calculation of Capital and other Related Issues for Short Term Insurers and Reinsurerrs	5 June 2014

8.0 Prescribed Assets

Table 5 : List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
CBZ Bank	AMA Bills	Purchase of Grain by GMB	360 days	9-12%	16/06/2014

9.0 Conclusion

There are signs that the life assurance industry is growing albeit at a rate lower than costs. Other challenges continue such as capitalization, premium debtors and low prescribed assets compliance rate. Various rehabilitative measures by the Commission continue to be employed involving industry and Ministry of Finance and Economic Development